

Exception to the 50% Deductible for Restaurants

Running a business is no small task, especially during this difficult time where new challenges seem to lurk around every corner. Don't fret; many programs and acts have been put in place to ensure that you don't face these challenges alone. One of these instances is the inclusion of Notice 2021-25 in The Consolidated Appropriations Act, 2021, which is meant to help provide temporary relief for restaurants who have been significantly impacted by the pandemic.

Under Section 274 of the Internal Revenue Code, it states that as long as certain conditions are met, a 50% deductible can apply to food and beverage expenses. However, on April 8, 2021, the IRS issued Notice 2021-25, which provides an exception to the 50% deductible. This exception states that any food or beverage expenses that are paid or incurred *after* December 31, 2020, and *before* January 1, 2023 can receive a 100% deductible, if such food and beverages are **provided by a restaurant**.

Under Section 274, a restaurant is defined as:

“a business that prepares and sells food or beverages to retail customers for immediate consumption, regardless of whether the food or beverages are consumed on the business's premises. However, a restaurant does not include a business that primarily sells pre-packaged food or beverages not for immediate consumption, such as a grocery store; specialty food store; beer, wine, or liquor store; drug store; convenience store; newsstand; or a vending machine or kiosk.”

The 50% deductible will continue to apply for the aforementioned businesses, as long as certain conditions are met.

Other Things That Don't Count as a Restaurant

- Any eating facility located on the business premises of the employer and used in furnishing meals excluded from an employee's gross income
- Any employer-operated eating facility treated as a de minimis fringe (minimal or low-value perk), even if such eating facility is operated by a third party under contract with the employer

So...What Conditions Must be Met?

As stated under Section 247 of the Internal Revenue Code, the following conditions must be met:

- The expense must be an ordinary and necessary expense paid or incurred during the taxable year in carrying on any trade or business
- The expense must not be lavish or extravagant under the circumstances
- The taxpayer, or an employee of the taxpayer, must be present at the furnishing of the food or beverages
- The food and beverages are provided to a current or potential business customer, client, consultant, or similar business contact
- In the case of food and beverages provided during or at an entertainment activity, the food and beverages must be purchased separately from the entertainment, or the cost of the food and beverages must be stated separately from the cost of the entertainment on one or more bills, invoices, or receipts.

Have Questions?

This article is designed to provide you with the necessary information in a straightforward way that helps you understand how this new legislation affects your business. The Internal Revenue Code provides many exceptions; as a result, if you have any questions regarding this new development, please don't hesitate to [contact us](#).